Fernhill Housing Trust · Registered charity no. 1190457

Annual Report and Financial Statements for the year ended 31 March 2026

Chair's statement

This has been a year of steady progress for the Trust and for the 2,140 households who live in our homes. We completed 46 new homes for social rent in Oakworth and Lindley, the largest number in a single year since the Trust was founded. At the same time we kept average rent increases below the level allowed by the regulator.

Our tenants told us that repairs matter more to them than anything else. We therefore brought the responsive repairs service back in house in September, and the average time to complete a routine repair fell from 23 days to 11 days[1]. I would like to thank our staff, volunteers and board members for their commitment throughout the year.

2,140 homes managed

46 new homes completed

91% tenant satisfaction

£8.7m total income

[1] Measured across all routine repairs reported between October 2025 and March 2026.

Financial review

Total income rose by 10.4% to £8.66 million, mainly because of higher rental income and a capital grant for the Lindley scheme. Expenditure increased by 7.0% to £7.67 million. The resulting surplus of £986,000 has been added to reserves and will support the next phase of our development programme.

Statement of financial activities (£000)

			Total	
	Unrestricted funds	Restricted funds	2026	2025
Income from				
Donations and legacies	412	96	508	471
Charitable activities: rents and service charges	6,842	–	6,842	6,519
Grants	–	1,250	1,250	830
Investment income	58	–	58	22
Total income	**7,312**	**1,346**	**8,658**	**7,842**
Expenditure on				
Raising funds	141	–	141	133
Housing management and maintenance	4,926	312	5,238	4,987
Tenant support services	1,388	905	2,293	2,051
Total expenditure	**6,455**	**1,217**	**7,672**	**7,171**
Net income for the year	**857**	**129**	**986**	**671**
Funds brought forward at 1 April	5,420	744	6,164	5,493
Funds carried forward at 31 March	**6,277**	**873**	**7,150**	**6,164**

All income and expenditure derives from continuing activities. The Trust has no recognised gains or losses other than those shown above.

Reserves policy

The board aims to hold free reserves equal to at least three months of operating expenditure. At 31 March 2026 free reserves stood at £1.9 million, which is equivalent to 3.5 months of expenditure.

Balance sheet

Balance sheet at 31 March 2026 (£000)

	2026	2025
Fixed assets		
Housing properties	18,940	18,312
Other tangible assets	412	455
	19,352	**18,767**
Current assets		
Debtors	638	590
Cash at bank and in hand	2,104	1,688
	2,742	**2,278**
Creditors: amounts falling due within one year	(1,416)	(1,301)
Net current assets	**1,326**	**977**
Creditors: amounts falling due after more than one year	(13,528)	(13,580)
Net assets	**7,150**	**6,164**
Funds		
Unrestricted funds	6,277	5,420
Restricted funds	873	744
Total funds	**7,150**	**6,164**

The financial statements were approved by the board on 24 June 2026 and signed on its behalf by the chair and the treasurer.

Notes to the financial statements

1. Accounting policies

The financial statements have been prepared under the historical cost convention, modified to include certain investments at fair value. The Trust is a public benefit entity and applies the Statement of Recommended Practice for registered social housing providers.

The principal accounting policies are set out below:

a. Rental income is recognised in the period to which it relates, net of rent losses from empty homes.

b. Housing properties are stated at cost less depreciation, and depreciation is charged on each major component separately:
   - structure over 100 years;
   - roofs over 60 years;
   - kitchens over 20 years and bathrooms over 30 years.

c. Capital grants are recognised as income when the conditions attached to them have been met.

2. Staff costs

The average number of employees during the year was 87, an increase of 14 compared with the previous year. The increase reflects the transfer of repairs operatives into direct employment.

	2026 £000	2025 £000
Wages and salaries	2,914	2,402
Social security costs	296	241
Pension costs	238	190
Total staff costs	**3,448**	**2,833**

3. Related party transactions

Two board members are tenants of the Trust. Their tenancies are on the same terms as those of other tenants and they cannot use their position to their advantage.

(a) No board member received remuneration during the year.
(b) Travel expenses of £2,180 were reimbursed to six board members.
(c) The Trust purchased no goods or services from businesses connected with board members.